

Eurolux Universal Bank AG

Sustainability-related Financial Disclosures (prepared with reference to IFRS S1 and IFRS S2)

Reporting year: 2024

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General Requirements

Understanding the Bank's approach towards implementing IFRS S1 and IFRS S2 requirements

This report sets out Eurolux Universal Bank AG's climate- and sustainability-related financial disclosures for the Bank's current reporting period. The disclosures are structured in line with the core pillars commonly used in IFRS S1 and IFRS S2, namely Governance, Strategy, Risk management, and Metrics and targets, and focus on sustainability-related and climate-related risks and opportunities that could reasonably be expected to affect the Bank's prospects.

The primary objective of this report is to provide decision-useful information to investors, lenders and other capital providers on how sustainability-related and climate-related factors may influence the Bank's cash flows, access to finance and cost of capital over the short, medium and long term. The report focuses in particular on:

- climate-related transition and physical risks and opportunities in the Bank's lending and financing activities, including exposures to sectors such as mining, energy-intensive manufacturing, transport and social infrastructure;
- climate-related risks and opportunities in the Bank's own operations, including buildings, corporate fleet and business travel; and
- the governance, strategy, risk management processes, and metrics and targets that the Bank uses to identify, assess, manage and monitor these risks and opportunities, as described in the respective sections of this report.

The report follows an IFRS S1/S2-style structure and terminology. It is intended to be aligned with the principles and disclosure objectives of IFRS S1 and IFRS S2, but it does not constitute a formal statement of full legal compliance with those Standards or with any specific jurisdictional sustainability reporting regime. The Bank is headquartered in Germany (country code DE) and is mindful of the evolving European sustainability reporting environment, including sustainability reporting requirements that may apply to banks operating in Europe.

Parts of the report rely on modelled estimates and third-party data, particularly for climate scenario analysis and financed emissions, as described in the Strategy and Metrics and targets sections. In addition, some information in this report is based on constructed or model-based representations where underlying primary data are limited, especially in relation to portfolio-level climate metrics and scenario outputs. Certain scenario analysis outputs and portfolio metrics also draw on internally developed analytical representations rather than solely on historical observations. The Bank will continue to refine its methodologies, data coverage and governance over sustainability-related information as practices, regulatory expectations and IFRS Sustainability Disclosure Standards evolve.

Fair presentation

The Bank aims to prepare this report in a transparent, balanced and decision-useful manner. The disclosures are intended to reflect, in a structured way, the sustainability-related and climate-related risks and opportunities that could reasonably be expected to affect the Bank's prospects, and the associated governance, strategy, risk management and performance.

In doing so, the Bank seeks to:

- describe material sustainability-related and climate-related risks and opportunities in a way that is clear, specific and relevant to a commercial bank;
- use quantitative metrics where these are available and sufficiently reliable, and complement them with qualitative information where data are still developing;
- explain key assumptions, limitations and boundaries where these may affect interpretation of the information; and
- provide information that is, to the extent practicable, comparable, verifiable, timely and understandable.

The Bank recognises that sustainability-related and climate-related reporting is an evolving area and that data availability, methodologies and market practices are still developing, particularly for financed emissions and climate scenario analysis. In several areas, including financed emissions, climate risk quantification and certain portfolio-level metrics, the Bank relies on third-party data, sectoral proxies and modelled approaches, as described in the Strategy, Risk management and Metrics and targets sections. Detailed calculation methodologies, data quality assessments and assumptions for all metrics are not yet comprehensively described in this report.

Governance disclosures are based on the Bank's current governance arrangements and on the information collated for this purpose, and are subject to the boundaries described in the Governance section. The Bank does not claim that the information in this report is exhaustive, nor does it assert that all sustainability-related and climate-related information is free from potential misstatement. The

Bank will continue to strengthen internal controls, data governance and review processes over sustainability-related information over time.

Connected information

The report is designed to show the connections between the Bank's governance, strategy, risk management, and metrics and targets for sustainability-related and climate-related matters.

- **Governance:** The Governance section describes the roles of the Board and management in overseeing sustainability-related and climate-related risks and opportunities, including how climate-related topics are brought to Board and committee discussions, how oversight is exercised, and how climate-related information is used in decision-making. Governance trend metrics, such as the number of ESG-related committee meetings and the proportion of Board members with climate expertise, are used to illustrate how oversight is evolving over time.
- **Strategy:** The Strategy section explains how sustainability-related and climate-related risks and opportunities are considered in the Bank's business model, portfolio composition and strategic planning. This includes the use of climate scenario analysis and a climate risk register, as described in that section, to identify sectors and counterparties with elevated transition or physical risk, such as mining of coal and lignite, manufacture of coke and refined petroleum, air transport, and selected manufacturing and infrastructure sectors.
- **Risk management:** The Risk management section sets out how climate-related risks are integrated into the Bank's broader risk management framework, including the identification, assessment, monitoring and management of climate-related risks across the value chain. This includes the use of sectoral exposure mapping, climate risk registers and scenario outputs, as described in that section, to inform risk appetite, credit policies and portfolio steering.
- **Metrics and targets:** The Metrics and targets section provides quantitative indicators and targets that the Bank uses to monitor its performance and progress, including financed emissions, exposure to high-carbon sectors, green finance metrics, climate-related capital expenditure and operating expenditure, and climate-related targets. These metrics are linked to the risk and opportunity profile described in the Strategy and Risk management sections and are overseen through the governance structures described in the Governance section.

The Bank aims to ensure that the data and assumptions used in preparing sustainability-related financial disclosures are, to the extent possible, consistent with those used in preparing the related financial statements, particularly in relation to exposure amounts, sector classifications and currency. The reporting currency used in this report is the euro (EUR), which is also the presentation currency of the Bank's financial statements.

The Bank also aims to highlight connections between sustainability-related and climate-related risks and opportunities and potential impacts on its financial position and performance, including areas where there may be a significant risk of material adjustment to the carrying amounts of assets and liabilities within the next annual reporting period. Where such connections are identified, they are discussed in the Strategy, Risk management and Metrics and targets sections.

Comparative information

Where trend information is available and relevant, the Bank includes comparative information to enable users to understand changes over time. This is particularly the case for governance-related indicators and selected climate-related metrics.

For governance, trend metrics are available for:

- the number of ESG- or climate-related committee meetings;
- the percentage of Board members with climate-related expertise;
- the percentage of the Chief Executive Officer's variable remuneration linked to ESG or climate-related performance;
- the percentage of executive management with climate-related elements in remuneration;
- the percentage of Board meetings at which climate-related topics are on the agenda; and
- the frequency of full Board meetings.

These trend metrics are discussed in the Governance section and illustrate how oversight of sustainability-related and climate-related matters is evolving.

For portfolio exposure and climate-related quantitative metrics, including financed emissions and certain sectoral exposure indicators, consistent historical data are not yet available for all years. As a result, comparative information for these metrics is not provided in all cases. Where comparative information is not available, this is due to the development of methodologies, data coverage and systems, rather than a change in the Bank's underlying risk profile.

The Bank intends to expand the scope and consistency of comparative information over time as data quality improves and methodologies stabilise.

Timing and location of disclosure

This report covers Eurolux Universal Bank AG's current reporting period. The sustainability-related and climate-related financial disclosures contained in this General Requirements section, and in the accompanying Governance, Strategy, Risk management, and Metrics and targets sections, relate to that reporting period unless otherwise stated.

The disclosures form part of Eurolux Universal Bank AG's dedicated sustainability and climate-related financial reporting for the period. They are intended to complement, and should be read alongside, the Bank's general purpose financial statements for the same period in order to obtain a more comprehensive understanding of the Bank's overall performance, position and prospects.

This section does not specify the external publication date, filing location or whether the disclosures are integrated into any other report.

Reporting entity, business model and value chain

The reporting entity for this report is Eurolux Universal Bank AG. The Bank is based in Germany (country code DE). The reporting currency is the euro (EUR). Total assets amount to 850,000 million euro and total loans amount to 31,150.64 million euro.

The Bank operates as a universal bank. While a detailed business model description is not provided in this section, the Bank's activities include lending and financing to a range of corporate sectors, as reflected in the value chain and portfolio exposure information. The Bank's sustainability-related and climate-related risk profile is influenced by both its own operations and its financing activities.

The Bank's value chain, as relevant to climate-related risks and opportunities, includes:

- Own operations:
 - Own banking operations — buildings: Operational sites and related activities generate Scope 1 and Scope 2 emissions and are exposed to physical disruption and physical chronic risk.
 - Corporate fleet and business travel: These activities contribute to Scope 1, Scope 2 and selected Scope 3 emissions and are exposed to transition market risk, including potential changes in regulation, technology and customer expectations.
- Upstream suppliers:
 - IT infrastructure and cloud providers: These suppliers support the Bank's digital and operational capabilities and are associated with environmental impacts captured in upstream Scope 3 categories. The Bank's exposure to these suppliers is approximately 223.85 million euro.
 - Office space landlords: The Bank leases office space, which contributes to upstream environmental impacts and may influence the Bank's operational resilience and energy profile. The Bank's exposure to these landlords is approximately 445.41 million euro.
 - Professional services suppliers: These suppliers provide advisory and other services and are associated with upstream environmental impacts. The Bank's exposure to these suppliers is approximately 120.73 million euro. These upstream nodes are mapped for completeness but are not currently considered material for detailed climate-related disclosure in this report.
- Downstream and financing counterparties:
 - Corporate borrowers in sectors with elevated transition risk, including:
 - Mining of coal and lignite;
 - Manufacture of coke and refined petroleum;
 - Mining of metal ores;
 - Other mining and quarrying; and
 - Air transport. Lending to these sectors carries elevated transition risk from potential carbon pricing, regulatory changes and shifts in demand.
 - Corporate borrowers in sectors with notable physical and transition risk, including:
 - Manufacture of motor vehicles;
 - Manufacture of electrical equipment;
 - Manufacture of food products;
 - Civil engineering;
 - Education. These sectors are subject to moderate physical chronic risk and transition risk, which may affect counterparties' creditworthiness and the value of collateral over time.

The Bank's total assets and total loans figures provide context for the scale of its balance sheet and the relative significance of the exposures described above. A detailed portfolio summary and a full description of the Bank's business model and value chain are not included in this section and may be addressed in other parts of the Bank's reporting.

Information on consolidation boundaries, subsidiaries included in the reporting scope and the alignment of sustainability-related reporting boundaries with those of the financial statements is not specified in this section. The Bank does not, therefore, state that the sustainability-related reporting boundary is fully aligned with the financial statement consolidation boundary. Where relevant, boundary considerations are discussed in the thematic sections of this report.

Sources of guidance

This report is structured with reference to IFRS S1 General Requirements for Disclosure of Sustainability-related Financial Information and IFRS S2 Climate-related Disclosures, which the Bank uses as the main framing for organising information under the Governance, Strategy, Risk management, and Metrics and targets pillars and for focusing on information that is material to users of general purpose financial reports.

Beyond this reference to IFRS S1 and IFRS S2, the Bank does not identify or describe other specific external standards, pronouncements, industry practices or guidance sources applied in preparing the sustainability-related and climate-related financial disclosures in this report. Any references to external climate-target frameworks or initiatives are made, where relevant, in the specific sections in which they arise.

The Bank recognises that the European sustainability reporting environment, including sustainability reporting requirements that may apply to banks operating in Europe, is evolving. The Bank will continue to monitor developments in IFRS Sustainability Disclosure Standards and other relevant regulatory or market guidance and will adapt its reporting approach as appropriate.

Statement of compliance

This report is prepared with reference to, and is intended to be aligned with, the disclosure objectives and core concepts of IFRS S1 and IFRS S2. The Bank has used these Standards as the primary framework for structuring its sustainability-related and climate-related financial disclosures and for determining the types of information to be included.

At this stage, the Bank does not assert full compliance with IFRS S1 and IFRS S2 as formally adopted in any specific jurisdiction. In particular:

- the Bank does not state that all disclosure requirements of IFRS S1 and IFRS S2 have been addressed in full;
- certain methodological details, data quality assessments and boundary descriptions are still being developed; and
- comparative information for all metrics is not yet available.

The Bank does not claim external assurance over the full content of this report. Scope 1 and Scope 2 emissions are subject to limited external assurance (see Metrics and targets). Financed emissions

and other portfolio-level climate metrics have not been subject to external assurance unless explicitly stated.

The Bank intends to enhance the scope, depth and robustness of its sustainability-related and climate-related financial disclosures over time, with the aim of progressively increasing alignment with IFRS Sustainability Disclosure Standards and with applicable sustainability reporting requirements that may apply to banks operating in Europe.

Materiality assessment

The Bank's sustainability-related and climate-related disclosures in this report focus on risks and opportunities that could reasonably be expected to affect the Bank's prospects, including its cash flows, access to finance and cost of capital over the short, medium and long term.

The Bank applies a risk- and portfolio-driven approach to determining which topics are included in this report. This approach is grounded in:

- climate and sustainability risk registers that identify key transition and physical risk drivers relevant to the Bank's activities, as described in the Strategy and Risk management sections;
- portfolio exposure mapping by sector and activity, including identification of sectors with elevated transition risk (such as mining of coal and lignite, manufacture of coke and refined petroleum, mining of metal ores, other mining and quarrying, and air transport) and sectors with notable physical chronic risk and transition risk (such as manufacture of motor vehicles, manufacture of electrical equipment, manufacture of food products, civil engineering and education);
- value chain mapping that distinguishes between own operations, upstream suppliers and downstream financing counterparties, and highlights where climate-related risks and opportunities are most significant; and
- climate scenario analysis and related analytical outputs, as described in the Strategy and Risk management sections, that inform the potential magnitude and timing of impacts on counterparties, sectors and the Bank's portfolio.

Using this risk- and portfolio-driven screening, the Bank identifies sustainability-related and climate-related topics that are considered material for disclosure in this report. These include, among others:

- climate-related transition and physical risks in the lending and financing portfolio;
- climate-related risks and opportunities in own operations, including buildings and business travel;
- financed emissions and exposure to high-carbon sectors;
- green and transition finance activities; and
- governance, risk management and strategic responses to these risks and opportunities.

No documented IFRS S1 materiality process artefact, such as a formal, standardised materiality methodology or matrix, is presented in this report. The Bank does not describe or rely on a formal stakeholder materiality survey or stakeholder-engagement-based materiality process for the purposes of this General Requirements section.

The Bank recognises that its approach to materiality for sustainability-related and climate-related reporting will continue to evolve. Over time, the Bank intends to further refine its materiality assessment, including by enhancing the integration of climate-related and other sustainability-related risks into enterprise risk management, expanding quantitative analysis of potential financial effects, and improving the transparency of judgements and assumptions used in determining which topics are material for disclosure.

Governance

Overview

Eurolux Universal Bank AG has governance arrangements that include Board oversight, ESG & Sustainability Committee activity, executive management responsibility, semi-annual Board reporting, integration indicators within the enterprise risk framework, climate checks for major transactions and a climate risk register.

In 2024, the Board of Directors comprised 10 members, of whom 68.5% were independent. The Board met eight times during the year, with climate-related topics on the agenda at 72.6% of meetings. Climate-related oversight is further supported by an ESG & Sustainability Committee, which met seven times in 2024, and by documented climate-related decisions taken by the Board and its committees during the year.

Management oversight for climate-related risks and opportunities is exercised through the Climate Risk Management Committee. Management provides climate risk reporting to the Board on a semi-annual basis, drawing on a climate risk register that, in 2024, recorded 8 climate-related risks. Six of these 8 recorded climate-related risks carry an indicator that they are integrated into the enterprise risk management framework; enterprise-wide integration into the enterprise risk management framework is not evidenced. In addition, the Bank performed climate checks for major transactions in 2024.

Climate-related skills and incentives are reflected in the proportion of Board members with climate expertise, the existence of a skills development programme, and the inclusion of ESG and climate-related components in executive remuneration. Governance indicators the Bank reports (climate-on-agenda %, board climate-expertise %, climate-linked remuneration %) are used to track aspects of climate-related governance over time.

The role of the Board of Directors

The Board of Directors of Eurolux Universal Bank AG oversees climate-related risks and opportunities as part of its overall oversight of the Bank's business and risk profile. In 2024, the Board comprised 10 members, with 68.5% classified as independent. The Board met eight times during the year ended 31 December 2024, compared with seven meetings in 2023 and four meetings in 2022.

Climate-related topics featured regularly on the Board agenda. Climate-related items were included at 72.6% of Board meetings in 2024, compared with 73.1% in 2023 and 69.8% in 2022. Climate risk reporting is provided to the Board on a semi-annual basis and gives an overview of material climate-related risks drawn from the climate risk register.

Through its consideration of management reports, its interaction with the ESG & Sustainability Committee and its climate-related decisions in 2024, the Board oversees the setting and monitoring of climate-related targets and the treatment of climate-related risks and opportunities in the Bank's strategy and major decisions. The Board's climate-related decisions do not currently describe

specific trade-offs such as profitability, capital allocation, implementation cost, risk appetite or competing strategic priorities.

Board committees and climate-related oversight

The Board is supported in its climate-related oversight by the ESG & Sustainability Committee. This committee provides a forum for more detailed consideration of climate-related matters before they are brought to the full Board where relevant.

The ESG & Sustainability Committee met seven times in 2024, compared with six meetings in 2023 and five meetings in 2022. The committee reports to the Board and, together with the Board, took climate-related decisions in 2024. Committee activity in 2024 included consideration of climate-related topics that were subsequently the subject of Board decisions, as set out in the Governance decisions, controls and evidence boundaries subsection.

Committee activity and meeting frequency are disclosed for 2022–2024. The Bank does not currently disclose the committee charter or terms of reference for the ESG & Sustainability Committee.

Management responsibility for climate-related risks and opportunities

Management-level responsibility for climate-related risks and opportunities in 2024 was held by the Climate Risk Management Committee. This committee oversees and coordinates climate risk reporting and use of the climate risk register and provides climate risk reporting to the Board on a semi-annual basis.

The Bank uses a climate risk register that, in 2024, recorded 8 climate-related risks. These risks are identified and recorded in the register and are classified by:

- risk category, including physical acute, physical chronic, transition market, transition policy, transition reputational and transition technology;
- time horizon, including short (0–2 years), medium (2–5 years) and long (5 years plus);
- risk rating, including high and medium.

The register records monitoring frequencies for climate-related risks, with quarterly and semi-annual monitoring frequencies in 2024. Scenario analysis identifiers are recorded for selected risks, linking them to specific climate scenarios. Mitigation actions are recorded in the register for individual risks. Examples of mitigation actions recorded in the register include:

- climate scenario stress testing integrated into the Internal Capital Adequacy Assessment Process (ICAAP);
- collateral revaluation and flood mapping overlay;
- engagement and transition-plan covenants with borrowers;
- green retrofit financing incentives;
- portfolio decarbonisation glide-path monitoring;
- sector exposure limits and enhanced due diligence.

As an illustration, the register includes a high-rated physical risk related to mortgage book flood exposure, assessed over a long-term horizon and monitored quarterly, with a recorded financial

impact of 24.8 million euros and mitigation actions that include engagement and transition-plan covenants with borrowers.

Six of 8 recorded climate-related risks carry an indicator that they are integrated into the enterprise risk management framework; enterprise-wide integration into the enterprise risk management framework is not evidenced. Four of the eight climate-related risks changed since the prior period. The Bank performed climate checks for major transactions in 2024. Formal escalation thresholds or trigger-based escalation mechanics for climate-related risks are not evidenced in the risk register.

The management committee names recorded for prior years differ from 2024 (Group Sustainability Committee in 2022 and ESG Executive Committee in 2023). The Bank does not currently disclose whether these committees represent a continuous or renamed structure.

Skills, competencies and remuneration

Climate-related skills and competencies at Board level are reflected in the proportion of Board members with climate expertise and in the Bank's skills development activities. In 2024, 37.5% of Board members were recorded as having climate-related expertise, compared with 35.5% in 2023 and 33.5% in 2022. The Bank operates a skills development programme that includes climate-related topics for Board members and senior management. The Bank does not currently disclose a formal process for assessing the adequacy of Board climate-related skills and competencies.

Climate-related performance is incorporated into executive remuneration. The Chief Executive Officer's remuneration included an ESG-linked component of 9.3% in 2024, compared with 7.8% in 2023 and 6.3% in 2022. For all executives, climate-linked remuneration represented 15.1% in 2024, compared with 15.3% in 2023 and 8.7% in 2022. These governance indicators the Bank reports (climate-on-agenda %, board climate-expertise %, climate-linked remuneration %) provide insight into how climate-related considerations are reflected in leadership incentives.

Governance decisions, controls and evidence boundaries

In 2024, the Board and its committees took a number of specific climate-related decisions:

- On 24 January 2024, the full Board approved the 2024 ESG report for publication. The topics discussed in connection with this decision included carbon credit approval and transition plan review.
- On 15 April 2024, the ESG & Sustainability Committee and the full Board approved the climate scenario analysis methodology. Topics discussed in the meetings associated with this decision included executive remuneration ESG key performance indicators, net-zero progress, physical risk updates, TCFD review and transition plan review.
- On 15 April, 20 May, 19 July and 26 November 2024, the ESG & Sustainability Committee and the full Board approved the carbon credit procurement budget. Topics discussed in the meetings associated with this decision included executive remuneration ESG key performance indicators, net-zero progress, physical risk updates, scenario analysis, TCFD review and transition plan review.
- On 7 October 2024, the full Board endorsed an updated transition plan. Topics discussed included green finance growth and TCFD review.

- On 1 November 2024, the full Board endorsed a net-zero interim target revision. Topics discussed included net-zero progress.

These decisions, together with semi-annual climate risk reporting to the Board and the operation of the climate risk register, form key elements of the Bank's climate-related governance for 2024.

The Bank obtained limited external assurance from EY over its Scope 1 and Scope 2 greenhouse gas emissions for 2024, in accordance with ISAE 3000. Assurance covers only Scope 1 and Scope 2 emissions. Financed emissions and other Scope 3 categories, including the Bank's 2024 financed emissions of 35,973,168 tCO₂e, are outside the stated assurance scope.

The Bank's climate risk register and indicators of integration into the enterprise risk management framework provide important internal mechanisms for monitoring climate-related risks. As noted above, 6 of 8 recorded climate-related risks carry an indicator that they are integrated into the enterprise risk management framework; enterprise-wide integration into the enterprise risk management framework is not evidenced. The Bank performed climate checks for major transactions in 2024.

The Bank reports internal alignment indicators for its climate disclosures with the recommendations of the Task Force on Climate-related Financial Disclosures and with IFRS S2. These are alignment indicators and do not constitute a separate governance control process designed specifically to verify or assure that alignment beyond the Board and committee oversight, management processes and external assurance scope described above.

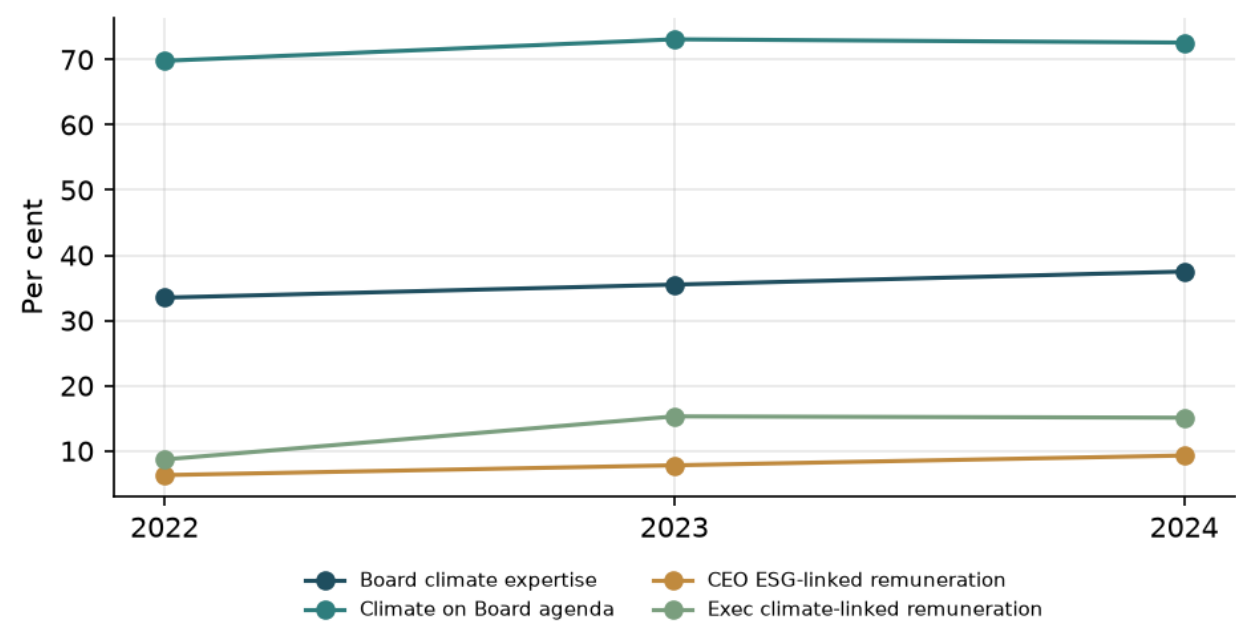
The Bank does not currently disclose a climate-specific charter, terms of reference or formal mandate for the Board or its committees, nor formal escalation thresholds for climate-related risks. Board and committee decision records identify climate-related decisions but do not describe quantified or specific Board-level trade-offs.

Supporting data and exhibits

Table G1 — Climate governance indicators (three-year trend)

Indicator	2022	2023	2024
Full Board meetings	4	7	8
ESG & Sustainability Committee meetings	5	6	7
Board members with climate expertise	33.5%	35.5%	37.5%
Meetings with climate on the agenda	69.8%	73.1%	72.6%
CEO remuneration linked to ESG	6.3%	7.8%	9.3%
Executive remuneration linked to climate	8.7%	15.3%	15.1%

Figure G1 — Climate governance indicators, 2022–2024



Strategy

Overview

Eurolux Universal Bank AG integrates climate-related considerations into its overall business strategy through a structured approach that links value-chain risk assessment, portfolio steering, transition planning, climate-related opportunities, resource allocation and scenario analysis. The Bank focuses on the impact of climate risks and opportunities on its lending activities, capital allocation and risk appetite, and on how these factors influence strategic planning over short-, medium- and long-term horizons.

Climate-related risks and opportunities are assessed across the Bank's upstream funding base, own operations and downstream financing counterparties. These assessments inform credit policies, sector exposure management, product development and client engagement. Scenario analysis using NGFS v4 pathways is used to test the resilience of the Bank's strategy and to quantify modelled financial impacts, including transition and physical risk losses, stranded assets and revenue at risk. Climate-related capital expenditure and operating expenditure are used as indicators of resource allocation to support this strategy. Targets for emissions reduction and net zero, described in the Metrics and targets section, provide directional guidance for the Bank's transition pathway.

Sustainability risks and opportunities across the value chain

The Bank's climate-related risk profile comprises both physical and transition risks across its value chain. The risk register for 2024 identifies eight material climate-related risks, including three physical and five transition risks, with ratings ranging from medium to high and time horizons spanning short term (0–2 years), medium term (2–5 years) and long term (beyond 5 years).

Physical risks arise primarily in the downstream lending portfolio. Key examples include high flood exposure in the mortgage book and wildfire exposure in southern portfolios, with modelled financial impacts of EUR 24.8 million and EUR 22.7 million respectively. These risks affect collateral values and borrower creditworthiness over medium- to long-term horizons. Own operations, including buildings and corporate travel, are also exposed to chronic physical risks and contribute to Scope 1 and 2 emissions.

Transition risks are concentrated in high-carbon and fossil-fuel-related sectors. High-carbon sector exposure represents 35.5% of the loan book (EUR 11,059.49 million), and fossil fuel exposure represents 22.15% (EUR 6,899.59 million). Material transition risks include stranded assets in fossil fuel sector exposures (EUR 136.5 million potential impact), technology-driven shifts such as the move to electric vehicles in auto lending (EUR 165.2 million), carbon pricing on industrial loans (EUR 67.5 million) and reputational risk from scrutiny of financed emissions (EUR 65.5 million). The Bank's financed emissions are estimated at around 36 million tonnes of CO₂ equivalent, with a carbon intensity of approximately 1,155 tonnes of CO₂ equivalent per million euro of exposure, which informs both the reputational risk assessment and portfolio steering.

The value-chain map shows that the most material exposures are downstream corporate borrowers in sectors such as manufacture of coke and refined petroleum (EUR 3,903.65 million), mining of coal

and lignite (EUR 3,547.58 million), mining of metal ores (EUR 2,749.58 million) and other mining and quarrying (EUR 2,102.44 million), all of which face elevated transition policy risk. Other sectors such as manufacture of motor vehicles and education (EUR 3,871.6 million and EUR 2,962.25 million respectively) are subject to moderate physical and transition risk. Upstream suppliers and some qualitative value-chain nodes are assessed qualitatively where financial exposure data are not available.

Climate-related opportunities are identified mainly in downstream products and services. The Bank has a green loan portfolio of EUR 3,335.75 million, representing 10.71% of total loans, and has identified estimated revenue opportunities of EUR 465.0 million across green loan growth, sustainable bond underwriting, transition advisory, renewable energy project finance and operational energy efficiency. These opportunity figures are modelled estimates with medium confidence and are subject to uncertainty; they do not represent assured future revenue.

Strategic management of climate-related risks and opportunities

The Bank manages climate-related risks and opportunities through a combination of portfolio steering, credit risk management, client engagement and product development. Climate-related factors are incorporated into credit analysis and sector strategies, particularly for high-carbon and fossil-fuel-related exposures.

For transition risks, the Bank applies sector exposure limits and enhanced due diligence for industrial borrowers exposed to carbon pricing, and monitors a portfolio decarbonisation glide path in response to reputational risk from financed emissions and the level of financed emissions and portfolio carbon intensity. Technology transition risk in auto lending, including the shift to electric vehicles, is assessed through climate scenario stress testing integrated into the Internal Capital Adequacy Assessment Process (ICAAP). Stranded asset risk in fossil fuel sector exposures is managed through measures such as collateral revaluation and the use of mapping overlays, and through active monitoring of sectoral transition dynamics.

Physical risks in the mortgage and southern portfolios are addressed through engagement with borrowers and collateral-focused tools such as flood-zone overlays. Own operations risks are managed through energy-efficiency initiatives and emissions reduction measures, which are linked to the Bank's Scope 1 and 2 reduction target set using a 1.5°C-oriented framework.

On the opportunity side, the Bank is expanding green and sustainability-linked lending informed by the EU Taxonomy, growing sustainable bond underwriting and distribution, and developing transition advisory and ESG due diligence services for corporate clients. Renewable energy project finance is a strategic focus area, informed by European energy transition policies. Operational energy-efficiency initiatives, including building performance upgrades and renewable energy certificate procurement, are intended to reduce operating costs and emissions.

The Bank has set climate-related targets, including an absolute Scope 1 and 2 reduction target to 2030, a Scope 3 category 15 intensity reduction target to 2030 and a net-zero target for all scopes by 2050, using frameworks such as a 1.5°C pathway and the Net-Zero Banking Alliance as references. Only target summary information is used in this Strategy section; detailed assumptions and dependencies underlying the Bank's transition plan are not specified here.

Climate-related effects on business model, value chain and decision-making

Climate-related risks and opportunities influence the Bank's business model primarily through their impact on lending activities, sectoral portfolio composition and client engagement. The concentration of transition risk in high-carbon and fossil-fuel-related sectors, and of physical risk in mortgage and geographically concentrated portfolios, informs the Bank's risk appetite, sector strategies and credit underwriting standards.

In the downstream value chain, the Bank is progressively steering its portfolio towards lower-carbon activities by growing green and sustainability-linked lending and renewable energy project finance, while applying sector exposure limits and enhanced due diligence in carbon-intensive sectors. This affects the mix of products and services offered to corporate borrowers, including increased emphasis on transition advisory and ESG-related services.

In own operations, climate considerations influence decisions on building management, energy procurement and travel policies, reflecting both cost and emissions considerations. Upstream, the Bank's engagement with suppliers is informed by environmental and climate criteria where relevant, although quantitative exposure data are not available for all supplier categories.

Climate-related scenario analysis and risk assessments are integrated into strategic planning horizons, with short-term (to 2025), medium-term (to 2030) and long-term (to 2050) perspectives informing capital planning and risk appetite. However, the Bank does not currently disclose a separate, detailed business-model impact assessment that isolates climate-related effects from other strategic drivers, and quantified trade-off analysis between climate-related and other strategic objectives has not been documented in this Strategy section.

Financial effects and resource allocation

Climate-related risks and opportunities affect the Bank's financial position and performance primarily through credit risk, capital allocation and fee income potential. High-carbon sector exposure of EUR 11,059.49 million and fossil fuel exposure of EUR 6,899.59 million create potential for increased expected credit losses and capital consumption under adverse transition scenarios, particularly where stranded asset risk is material. Physical risks in mortgage and regional portfolios may affect collateral values and default rates over time.

The Bank has allocated EUR 476.95 million of climate-related capital expenditure and EUR 219.32 million of climate-related operating expenditure in 2024. These amounts are indicators of resource allocation to climate-related initiatives, including portfolio steering, risk management capabilities, operational energy efficiency and green product development. They are not presented as separate line items in the primary financial statements; rather, they are embedded within existing categories such as property and equipment, technology investments, staff costs and administrative expenses. An activity-level breakdown of climate capex and opex is not currently disclosed.

On the opportunity side, the Bank has identified estimated revenue impacts of EUR 465.0 million from climate-related products and services. This includes medium-confidence estimates of EUR 180.0 million from green and sustainability-linked loan growth, EUR 95.0 million from sustainable bond underwriting, EUR 42.0 million from transition advisory services, EUR 130.0 million from renewable energy project finance and EUR 18.0 million from operational energy-efficiency gains.

These figures are modelled estimates with medium confidence and should not be interpreted as assured future revenue.

Scenario analysis provides additional insight into potential financial effects. Modelled estimates indicate that, under specific NGFS v4 scenarios, transition risk losses could reach up to 23.1% of capital in the short term and physical risk losses up to 32.0% of capital in the long term, with stranded assets and revenue at risk also quantified. These are not realised losses but inform capital planning and risk appetite. The Bank does not currently quantify the specific current-period effects of climate-related risks and opportunities on its financial position, financial performance and cash flows, and does not provide a granular mapping of these effects to individual financial statement line items. Management expects that the most relevant line items over time are likely to include expected credit losses and impairments, collateral valuations, and risk-weighted assets and capital requirements.

Climate resilience and scenario analysis

The Bank conducts climate-related scenario analysis using NGFS v4 scenarios across orderly, disorderly and hot house world pathways. The scenario set includes Net Zero 2050, Below 2°C, Divergent Net Zero, Delayed Transition, Nationally Determined Contributions and Current Policies. Analysis is performed over short-term (2025), medium-term (2030) and long-term (2050) horizons, primarily on the lending book across Germany, France, Italy, the Netherlands and Spain.

The overall scenario framework applies a top-down sector-pathway approach for orderly scenarios, a sub-portfolio focus for disorderly scenarios and a revenue-at-risk method for hot house world scenarios. For orderly scenarios, the Bank applies the NGFS v4 Net Zero 2050 pathway using a sector-pathway approach. Carbon price assumptions are informed by a Net Zero 2050 trajectory and mapped to counterparty sectors. Stranded asset estimates are derived from sector-level fossil fuel capital expenditure exposure. Under this scenario, modelled stranded assets in 2050 are estimated at EUR 33,575.2 million. Temperature outcomes in orderly scenarios are in the 1.5–1.8°C range, with technology readiness generally high and a rising share of renewable energy in the power mix.

For disorderly scenarios, such as Divergent Net Zero, the Bank focuses on technology pathway uncertainty and uneven policy implementation in selected sub-portfolios, notably automotive and energy manufacturing. Carbon prices vary by country based on national emissions trading schemes and carbon tax trajectories, and technology readiness is mixed across sectors (low, medium and high). These scenarios are used to stress-test technology transition risk in the targeted portfolios. Modelled estimates indicate that maximum transition risk losses could reach 23.1% of capital in 2025 under a Divergent Net Zero scenario. Under these conditions, near-term resilience is acceptable, but medium-term capital consumption from stranded asset impairments is material, and additional capital buffers may be required after 2030.

Hot house world scenarios, including Current Policies and Nationally Determined Contributions, assume delayed or insufficient policy action, leading to higher temperature outcomes, up to around 3.0°C. Carbon pricing ramps up later and is less effective in constraining emissions, with carbon price assumptions across scenarios ranging from approximately EUR 1.2 to EUR 287.1 per tonne of CO₂ equivalent. In these scenarios, physical risks dominate. For example, under a Current Policies scenario in 2050, modelled physical risk losses could reach 32.0% of capital, driven by flood and heat-related impacts on mortgage and agricultural portfolios. Under a Nationally Determined

Contributions scenario in 2025, modelled revenue at risk is estimated at EUR 35,509.1 million, reflecting sensitivity of sector revenues to carbon prices within the stated range.

Scenario-specific resilience is assessed as follows:

- In orderly scenarios, transition risk losses remain within Pillar 2 capital buffer thresholds, and growth in green lending and client engagement on transition plans is expected to reduce high-carbon sector concentration over the medium term.
- In disorderly scenarios, resilience is more constrained, with material capital consumption from stranded assets and higher volatility in credit losses; sector exposure limits and portfolio decarbonisation glide-path monitoring are key mechanisms.
- In hot house world scenarios, resilience is challenged primarily by physical risk, with collateral revaluation in flood-exposed mortgage books and increased default risk in climate-sensitive sectors; flood-zone overlays and energy performance certificate-based collateral monitoring are used to manage these risks.

The Bank's adaptation capacity in these scenarios is shaped by its climate-related capex and opex, its capital buffers, and its ability to adjust portfolio composition through sector limits, green loan growth and client engagement. However, the Bank does not currently disclose sufficient detail to assess full operational adaptation capacity across all business lines.

Strategy limitations and evidence boundaries

This Strategy section is prepared using the Bank's current climate risk, opportunity, value-chain, scenario and target information. While it describes how climate-related risks and opportunities affect the Bank's portfolio and value chain, the Bank does not currently disclose a separate, detailed business-model impact assessment that isolates climate-related effects from other strategic drivers.

The Bank's strategy disclosures do not include quantified or documented trade-off analysis for climate-related strategy decisions, such as explicit trade-offs between climate objectives and other financial or operational priorities. Only target summary information is used in this section; detailed target assumptions, baselines, milestones, validation evidence and any use of carbon credits are not described here.

Transition-plan governance decisions and net-zero targets are described at a high level, but the Bank acknowledges that key assumptions and dependencies underlying the transition plan, including policy, technology and customer-behaviour assumptions, are not specified in this Strategy section.

Scenario financial outputs, including transition and physical risk losses, stranded asset estimates and revenue at risk, are modelled estimates and should not be interpreted as realised or forecast losses. They are subject to uncertainty in scenario design, input data and modelling methodologies. Similarly, climate-related opportunity revenue impacts are estimates with associated uncertainty and should not be interpreted as assured future revenue.

Resilience observations in this section are scenario-specific and relate to the particular NGFS v4 pathways, assumptions and time horizons described. They do not constitute a general statement of overall bank-wide resilience to all climate-related risks. The Bank expects its methodologies, data coverage and disclosures to evolve over time as regulatory expectations, market practices and internal capabilities develop.

Risk management

Sustainability-related risk management overview

Eurolux Universal Bank AG identifies, assesses and monitors climate-related risks primarily through a dedicated climate risk register. For the financial year 2024, the register contains eight climate-related risks, comprising three physical risks and five transition risks. These risks are classified into the following categories: acute physical, chronic physical, transition market, transition policy, transition reputational and transition technology. Each risk is assigned a rating (high or medium), a time horizon (short term: 0–2 years; medium term: 2–5 years; long term: more than 5 years), a monitoring frequency (quarterly or semi-annual), and an indicative financial impact expressed in million euro.

The climate risk register is the central tool through which the Bank organises its climate-related risk management processes. It supports:

- identification and categorisation of material physical and transition risks;
- assessment of indicative financial impact and time horizon;
- prioritisation through risk ratings and monitoring frequency; and
- recording of mitigation actions and links to selected climate scenarios.

Six of the eight climate-related risks recorded for 2024 are flagged as integrated into the Bank's enterprise risk management processes, corresponding to 75% of the registered climate risks. This integration flag indicates that these climate-related risks are considered within the broader risk management activities of the Bank, alongside traditional financial and non-financial risks. Two climate-related risks are not yet flagged as integrated.

The Bank uses climate-related scenario analysis as a forward-looking input for selected risks. Five of the eight risks are linked to scenario references, which in turn draw on a subset of the Bank's scenario library. These scenario-linked risks reference four distinct scenario identifiers. The Bank's scenario library for climate risk analysis comprises 18 scenarios, based on the NGFS v4 framework and covering orderly, disorderly and hot-house world pathways, with key horizon years of 2025, 2030 and 2050. Scenario names used in the library include, among others, Below 2°C, Current Policies, Delayed Transition, Divergent Net Zero, Nationally Determined Contributions and Net Zero 2050. Scenario analysis is used as a forward-looking assessment input and the scenario outputs are modelled estimates rather than realised losses.

The Bank's climate-related risk management processes are connected to its broader sustainability and climate strategy through the focus on lending portfolios, sector exposures and financed emissions. Reported climate-related key performance indicators, including total financed emissions of 35,973,167.69 tCO₂e, a carbon intensity of 1,154.81 tCO₂e per million euro, high-carbon sector exposure of 35.5% and fossil fuel exposure of 22.15%, provide contextual information for transition and reputational risks recorded in the register, particularly those related to financed emissions scrutiny and fossil fuel sector exposure. The Bank does not currently disclose formal climate risk appetite thresholds, detailed risk policies or escalation triggers in this report.

Upstream sustainability risks

For Eurolux Universal Bank AG, upstream sustainability-related risks would typically relate to dependencies on funding markets, suppliers and other external service providers. In the current reporting period, the Bank's climate-related risk management disclosures are centred on the climate risk register, which focuses on risks arising from lending portfolios, collateral and counterparties. The 2024 climate risk register does not include specific upstream climate-related risks linked to suppliers, procurement or funding counterparties, nor does it set out a distinct upstream climate risk process.

As a result, this report does not provide a separate taxonomy or process description for upstream sustainability-related risks. Any climate-related effects on the Bank's access to capital or on key suppliers have not yet been quantified and are outside the scope of the 2024 climate risk register.

Risk management across internal operations

Internal operational climate risks for a commercial bank may include physical risks to branches and offices, data centres and other facilities, as well as transition-related impacts on internal processes, systems and staff capabilities. In 2024, the Bank's climate risk register is focused on risks that primarily affect lending portfolios and counterparties, including mortgage, auto, industrial and agricultural exposures.

The 2024 register does not contain distinct entries for climate-related risks that are limited to internal operations, such as physical damage to own premises or disruption to internal processes. It also does not describe specific internal operational controls or procedures related to climate risk, such as climate-related checks in major internal projects or dedicated operational resilience measures. Accordingly, this report does not present a separate internal operations climate risk management framework, and internal operational climate risks have not yet been quantified in the climate risk register.

Downstream sustainability risks

Downstream sustainability-related risks are most material for Eurolux Universal Bank AG through its lending activities, financed emissions, sectoral exposures and the quality and location of collateral. The 2024 climate risk register reflects this focus and records both physical and transition risks that arise from the Bank's credit portfolios and client relationships.

Key downstream physical risks include:

- Physical risk — mortgage book flood exposure: an acute physical risk with a high rating and a long-term time horizon of more than five years, monitored quarterly. This risk reflects potential flood-related impacts on the mortgage portfolio and associated collateral values. It is integrated into the Bank's enterprise risk management processes and is linked to a specific climate scenario reference. Mitigation actions recorded for this risk include engagement and transition-plan covenants with borrowers.
- Physical risk — wildfire exposure in southern portfolio: an acute physical risk with a medium rating and a short-term time horizon of 0–2 years, monitored on a semi-annual basis. This risk is not yet flagged as integrated into enterprise risk management. The mitigation actions recorded include "Collateral revaluation and flood mapping overlay".

- Physical risk — heat stress on agricultural borrowers: a chronic physical risk with a medium rating and a short-term time horizon of 0–2 years, monitored semi-annually. This risk is integrated into enterprise risk management and is linked to a climate scenario reference. The mitigation actions recorded include “Climate scenario stress testing integrated into ICAAP”.

Key downstream transition risks include:

- Transition risk — EV shift in auto lending: a transition technology risk with a high rating and a short-term time horizon of 0–2 years, monitored quarterly. This risk captures potential impacts on the auto lending portfolio from the shift towards electric vehicles. It is integrated into enterprise risk management and linked to a climate scenario reference. The mitigation actions recorded include “Climate scenario stress testing integrated into ICAAP”.
- Stranded assets — fossil fuel sector exposure: a transition market risk with a high rating and a long-term time horizon of more than five years, monitored quarterly. This risk reflects potential devaluation of exposures to fossil fuel sectors. It is integrated into enterprise risk management. The mitigation actions recorded include “Collateral revaluation and flood mapping overlay”.
- Transition risk — carbon pricing on industrial loans: a transition policy risk with a high rating and a medium-term time horizon of 2–5 years, monitored quarterly. This risk addresses potential impacts of carbon pricing on industrial borrowers. It is integrated into enterprise risk management. The mitigation actions recorded include “Sector exposure limits and enhanced due diligence”.
- Transition risk — building energy performance regulation: a transition policy risk with a medium rating and a long-term time horizon of more than five years, monitored semi-annually. This risk is not yet flagged as integrated into enterprise risk management. The mitigation actions recorded include “Green retrofit financing incentives”.
- Reputational risk — financed emissions scrutiny: a transition reputational risk with a medium rating and a medium-term time horizon of 2–5 years, monitored semi-annually. This risk is integrated into enterprise risk management and linked to a climate scenario reference. The mitigation actions recorded include “Portfolio decarbonisation glide-path monitoring”.

These downstream risks are closely connected to the Bank’s reported climate-related key performance indicators. High-carbon sector exposure of 35.5%, fossil fuel exposure of 22.15%, total financed emissions of 35,973,167.69 tCO₂e and a carbon intensity of 1,154.81 tCO₂e per million euro provide context for the transition market, policy and reputational risks described above. These indicators are used as monitoring context and are not presented as formal risk appetite limits in this report.

Climate risk management

The climate risk register is the primary instrument through which Eurolux Universal Bank AG organises its climate risk management processes across identification, assessment, prioritisation, monitoring and mitigation.

Identification and categorisation

The Bank identifies climate-related risks by mapping exposures across its lending portfolios and collateral to physical and transition risk drivers. In 2024, eight climate-related risks are recorded:

- three physical risks, classified as acute (flood and wildfire) and chronic (heat stress); and
- five transition risks, classified as market, policy, reputational and technology risks.

Each risk is assigned to one of the following categories: physical acute, physical chronic, transition market, transition policy, transition reputational or transition technology. The register also records whether a risk has changed since the prior period; four of the eight risks are marked as changed, indicating updates in assessment, financial impact or mitigation approach during 2024.

Assessment, prioritisation and time horizons

The Bank assesses each climate-related risk using:

- a risk rating of high or medium;
- a time horizon, defined as short term (0–2 years), medium term (2–5 years) or long term (more than 5 years); and
- an indicative financial impact expressed in million euro.

The top risks by indicative financial impact in 2024 include:

- Transition risk — EV shift in auto lending (high rating, short term, 165.2 million euro);
- Stranded assets — fossil fuel sector exposure (high rating, long term, 136.5 million euro);
- Transition risk — carbon pricing on industrial loans (high rating, medium term, 67.5 million euro);
- Reputational risk — financed emissions scrutiny (medium rating, medium term, 65.5 million euro);
- Physical risk — mortgage book flood exposure (high rating, long term, 24.8 million euro);
- Physical risk — wildfire exposure in southern portfolio (medium rating, short term, 22.7 million euro);
- Transition risk — building energy performance regulation (medium rating, long term, 21.6 million euro); and
- Physical risk — heat stress on agricultural borrowers (medium rating, short term, 20.6 million euro).

These assessments provide a basis for prioritising management attention and monitoring intensity, with higher-rated and higher-impact risks generally monitored more frequently.

Monitoring processes

Monitoring frequencies recorded in the register are quarterly and semi-annual. In 2024:

- high-rated risks with larger indicative financial impacts, such as the EV shift in auto lending, fossil fuel sector exposure, carbon pricing on industrial loans and mortgage book flood exposure, are monitored quarterly; and
- medium-rated risks, including wildfire exposure, building energy performance regulation, heat stress on agricultural borrowers and financed emissions scrutiny, are monitored on a semi-annual basis.

The register also records whether risks have changed since the prior period, providing a mechanism to track the evolution of climate-related risk assessments over time. Four of the eight risks are marked as changed in 2024.

Scenario analysis

Climate-related scenario analysis is used as a forward-looking input for selected risks. Five of the eight registered risks are linked to scenario references, which collectively use four distinct scenario identifiers. These identifiers are drawn from the Bank's library of 18 climate scenarios, which are based on the NGFS v4 framework and include orderly, disorderly and hot-house world pathways, with horizon years of 2025, 2030 and 2050. Scenario names in the library include Below 2°C, Current Policies, Delayed Transition, Divergent Net Zero, Nationally Determined Contributions and Net Zero 2050.

Selected risks are linked to these scenarios as follows:

- Transition risk — EV shift in auto lending and Physical risk — heat stress on agricultural borrowers reference the same scenario identifier;
- Physical risk — mortgage book flood exposure references a separate scenario identifier;
- Physical risk — wildfire exposure in southern portfolio references another scenario identifier; and
- Reputational risk — financed emissions scrutiny references a further scenario identifier.

These scenario links are used to inform the forward-looking assessment of risk magnitude and timing. Scenario outputs are modelled estimates and are not treated as actual losses.

Mitigation actions

The climate risk register records mitigation actions for each risk. Across the eight risks, the following mitigation actions are recorded:

- Climate scenario stress testing integrated into ICAAP;
- Collateral revaluation and flood mapping overlay;
- Engagement and transition-plan covenants with borrowers;
- Green retrofit financing incentives;
- Portfolio decarbonisation glide-path monitoring; and
- Sector exposure limits and enhanced due diligence.

These actions are recorded at the level of individual risks. For example, "Climate scenario stress testing integrated into ICAAP" is recorded for the EV shift in auto lending and heat stress on agricultural borrowers; "Collateral revaluation and flood mapping overlay" is recorded for fossil fuel sector exposure and wildfire exposure; "Engagement and transition-plan covenants with borrowers" is recorded for mortgage book flood exposure; "Green retrofit financing incentives" is recorded for building energy performance regulation; "Portfolio decarbonisation glide-path monitoring" is recorded for financed emissions scrutiny; and "Sector exposure limits and enhanced due diligence" is recorded for carbon pricing on industrial loans. Mitigation actions are recorded in the risk register and are not presented in this report as guarantees of risk reduction.

Integration into enterprise risk management

The climate risk register records whether each risk is integrated into the Bank's enterprise risk management processes. In 2024, six of the eight climate-related risks (75%) are flagged as integrated. These include the EV shift in auto lending, fossil fuel sector exposure, carbon pricing on industrial loans, financed emissions scrutiny, mortgage book flood exposure and heat stress on agricultural borrowers. Wildfire exposure and building energy performance regulation are not yet flagged as integrated. The integration flag indicates that these climate-related risks are considered within the Bank's broader risk management activities; however, this report does not describe detailed enterprise risk management policies or control frameworks for climate risk.

Risk management limitations and evidence boundaries

The climate-related risk management disclosures in this section are based on the 2024 climate risk register, the associated scenario analysis framework and selected climate-related key performance indicators. While the register provides structured information on risk categories, ratings, time horizons, monitoring frequencies, indicative financial impacts, mitigation actions, scenario links and enterprise risk management integration flags, there are important limitations and boundaries to the disclosures presented.

First, the Bank does not currently disclose formal climate risk appetite thresholds, including quantitative limits or tolerance levels for specific climate-related risk categories, sectors or portfolios. As a result, this report does not describe how climate-related risks are constrained by explicit risk appetite metrics.

Second, the Bank does not currently disclose detailed climate risk policies, formal control procedures or process descriptions that would specify roles, responsibilities, approval workflows or lines of defence for climate risk management. The mitigation actions described are recorded at the level of individual risks in the register and should not be interpreted as a complete set of formal controls.

Third, the Bank does not currently disclose formal escalation thresholds or triggers for climate-related risks, such as defined criteria for escalation to senior management or governance bodies. Consequently, this report does not describe escalation routes or decision thresholds for climate-related risk events.

Fourth, the climate risk register is focused on downstream risks arising from lending portfolios, collateral and counterparties. Upstream climate-related risks linked to suppliers, procurement and funding markets, as well as internal operational climate risks affecting the Bank's own facilities and processes, are not separately identified or quantified in the 2024 register. These areas are therefore outside the scope of the current climate risk management disclosures.

Finally, climate-related scenario analysis is used as a forward-looking assessment input for selected risks and is based on modelled estimates using NGFS v4 scenarios. The Bank recognises that scenario design, input data and modelling assumptions are subject to uncertainty and may evolve over time. The Bank will continue to refine its climate risk management approach and may expand its disclosures on formal policies, risk appetite, escalation mechanisms and value chain coverage in future reporting periods as practices and regulatory expectations develop.

Supporting data and exhibits

Table R1 — 2024 climate risk register (summary)

Risk	Category	Rating	Time horizon	Financial impact	Monitoring	ERM-integrated	Scenario-linked
Transition risk — EV shift in auto lending	Transition - technology	High	Short (0-2 yr)	EUR 165.2m	Quarterly	Yes	Linked
Stranded assets — fossil fuel sector exposure	Transition - market	High	Long (>5 yr)	EUR 136.5m	Quarterly	Yes	—
Transition risk — carbon pricing on industrial loans	Transition - policy	High	Medium (2-5 yr)	EUR 67.5m	Quarterly	Yes	—
Reputational risk — financed emissions scrutiny	Transition - reputational	Medium	Medium (2-5 yr)	EUR 65.5m	Semi annual	Yes	Linked
Physical risk — mortgage book flood exposure	Physical - acute	High	Long (>5 yr)	EUR 24.8m	Quarterly	Yes	Linked
Physical risk — wildfire exposure in southern portfolio	Physical - acute	Medium	Short (0-2 yr)	EUR 22.7m	Semi annual	No	Linked
Transition risk — building energy performance regulation	Transition - policy	Medium	Long (>5 yr)	EUR 21.6m	Semi annual	No	—
Physical risk — heat stress on agricultural borrowers	Physical - chronic	Medium	Short (0-2 yr)	EUR 20.6m	Semi annual	Yes	Linked

Metrics and targets

Overview

Eurolux Universal Bank AG uses a suite of climate-related metrics and targets to monitor and manage material climate-related risks and opportunities across its balance sheet and operations. For the year ended 31 December 2024, the Bank's metrics focus on: portfolio-financed emissions and carbon intensity; exposure to high-carbon and fossil-fuel sectors; green lending and climate-related capital and operating expenditure; and medium- and long-term climate targets covering operational and financed emissions.

Operational Scope 1, Scope 2 and Scope 3 greenhouse gas emissions for 2024 are not available as detailed records and are therefore outside the scope of this Metrics and targets section. The Bank instead uses portfolio-financed emissions and related intensity indicators as its primary quantitative measures of climate transition risk in the lending book.

The climate-related metrics and targets disclosed in this section are integrated into the Bank's broader risk management and strategic planning processes, as described in the Governance, Strategy and Risk management sections of this report.

Sustainability-related metrics and targets

The Bank monitors a set of key performance indicators to assess its exposure to climate-related risks and to track progress against its climate-related strategic objectives. For 2024, the principal sustainability-related metrics are:

- Total assets: EUR 850,000 million.
- Total loans: EUR 31,150.64 million.

High-carbon and fossil-fuel exposure metrics:

- Exposure to high-carbon sectors: EUR 11,059.49 million, representing 35.5% of the total loan portfolio.
- Exposure to fossil-fuel-related activities: EUR 6,899.59 million, representing 22.15% of the total loan portfolio.

Green finance and transition-support metrics:

- Green loans: EUR 3,335.75 million, representing 10.71% of the total loan portfolio.
- Climate-related capital expenditure: EUR 476.95 million in 2024.
- Climate-related operating expenditure: EUR 219.32 million in 2024.

These metrics are used by management to:

- Monitor concentration risk in sectors with elevated transition and physical climate risk.
- Track the growth of green lending as a proportion of the overall loan book.

- Assess the scale of financial resources allocated to climate-related initiatives, including decarbonisation of operations, product development and risk management capabilities.
- Inform the setting and review of climate-related targets, including those relating to financed emissions and net-zero commitments.

The Bank's climate-related targets, described in the "Climate targets and progress" subsection, are linked to these metrics through absolute and intensity-based indicators, which are used internally to monitor progress over time.

Greenhouse gas emissions

Detailed 2024 operational Scope 1, Scope 2 and Scope 3 greenhouse gas emissions records for Eurolux Universal Bank AG are unavailable. As a result, operational emissions are not disclosed in this report and are outside the scope of the Metrics and targets section for the reporting year.

Managing exposure towards financed emissions

Financed emissions represent a key metric for assessing the climate-related risk profile of the Bank's lending activities. For the year ended 31 December 2024, the Bank reports the following portfolio-level financed emissions metrics for its loan book:

- Total financed emissions from loans: 35,973,167.69 tCO₂e.
- Carbon intensity of the loan portfolio: 1,154.81 tCO₂e per EUR million of lending, calculated using total loans of EUR 31,150.64 million.

These metrics are used to:

- Provide a quantitative view of the greenhouse gas emissions associated with the Bank's lending activities.
- Support the monitoring of transition risk in sectors with higher emissions profiles.
- Track progress against the Bank's financed emissions intensity reduction target, as described in the "Climate targets and progress" subsection.

The Bank does not currently disclose the basis for the perimeter of the financed emissions calculation (for example, by asset class or sector) in this report. Detailed calculation methodology, including data sources, estimation techniques and any data quality assessments, is not described in this section and is therefore a limitation on the interpretability and comparability of the financed emissions metrics. No external verification of the 2024 financed emissions and carbon intensity metrics has been performed.

Climate-related financial metrics and resource allocation

The Bank uses climate-related financial metrics to assess how climate-related risks and opportunities are reflected in its financial position and resource allocation decisions. For 2024, the key climate-related financial metrics are:

- Green lending: Green loans amounted to EUR 3,335.75 million, representing 10.71% of the total loan portfolio. This metric is used to monitor the Bank's support for clients' transition and sustainable activities.

- High-carbon sector exposure: Loans to high-carbon sectors totalled EUR 11,059.49 million, or 35.5% of the total loan portfolio. This metric is used to assess concentration risk in sectors that may be more exposed to transition risk.
- Fossil-fuel exposure: Loans to fossil-fuel-related activities amounted to EUR 6,899.59 million, or 22.15% of the total loan portfolio. This metric informs risk appetite, credit decisioning and engagement strategies with clients in fossil-fuel-intensive sectors.
- Climate-related capital expenditure: The Bank invested EUR 476.95 million in climate-related capital projects in 2024. This includes investments intended to support the decarbonisation of operations, enhancement of climate risk management capabilities and development of climate-related products and services.
- Climate-related operating expenditure: The Bank incurred EUR 219.32 million of climate-related operating expenditure in 2024, reflecting ongoing costs associated with climate risk management, data and analytics, staff training and other operational initiatives.

These financial metrics are used in internal planning and budgeting processes to:

- Assess the financial implications of climate-related risks and opportunities on the Bank's balance sheet and income statement.
- Inform capital allocation decisions, including investments in systems, data and capabilities required to manage climate-related risks.
- Monitor the reallocation of capital towards lower-carbon and green activities over time.

No external verification of these climate-related financial metrics has been performed for the 2024 reporting year.

Climate targets and progress

Eurolux Universal Bank AG has established climate-related targets that cover its operational emissions, financed emissions and long-term net-zero ambition. These targets are used to guide strategic decision-making, portfolio steering and engagement with clients. Oversight of climate-related targets by the Board and the relevant Board-level committee is described in the Governance section of this report. Target-level internal owner roles are not separately detailed in this section.

For transparency, the Bank summarises its principal climate-related targets as follows. All baseline values, target values and interim milestones are parameters recorded in the Bank's internal target records and are not current-year operational emissions:

1. Operational Scope 1 and 2 emissions reduction target

- Target: Reduce absolute Scope 1 and Scope 2 greenhouse gas emissions.
- Scope: Scope 1 and Scope 2 emissions across the whole entity.
- Metric: Absolute emissions in tonnes of CO₂ equivalent.
- Baseline year and value: 2020, with a baseline parameter of 137,849 tCO₂e recorded in the target record.
- Target year and reduction level: 2030, with a 42% reduction from the 2020 baseline recorded in the target record.
- Gases covered: All seven Kyoto greenhouse gases.

- Basis: The target record indicates that this target is set on a gross emissions basis.
- Framework: The target record identifies a science-based 1.5°C pathway as the target framework.
- Interim milestones: The target record includes interim milestone parameters of 120,480 tCO₂e for 2025 and 97,321.4 tCO₂e for 2028.
- Progress indicator: The target record reports 40.0% progress towards the 2030 reduction objective as at 2024, using absolute tCO₂e as the progress metric. This progress indicator has not been externally verified.
- Third-party validation: The target record indicates that external validation is recorded, with the Science Based Targets initiative identified in a validation field. This reference does not extend to current-year emissions metrics, progress indicators or the likelihood of future target achievement.

1. Financed emissions intensity reduction target

- Target: Reduce the carbon intensity of financed emissions associated with the loan portfolio.
- Scope: Scope 3, category 15 (financed emissions) across the whole entity.
- Metric: Emissions intensity in tCO₂e per EUR million of lending.
- Baseline year and value: 2022, with a baseline parameter of 20.0 tCO₂e per EUR million of lending recorded in the target record.
- Target year and reduction level: 2030, with a 30% reduction from the 2022 baseline recorded in the target record.
- Gases covered: All seven Kyoto greenhouse gases.
- Basis: The target record indicates that this target is set on a gross emissions basis.
- Framework: The target record identifies the Net-Zero Banking Alliance as the target framework.
- Sectoral approach: The target record indicates that a sectoral decarbonisation approach is applied.
- Interim milestones: The target record includes interim milestone parameters of 18.2 tCO₂e per EUR million of lending for 2025 and 15.8 tCO₂e per EUR million of lending for 2028.
- Progress indicator: The target record reports 25.0% progress towards the 2030 intensity reduction objective as at 2024, using tCO₂e per EUR million as the progress metric. This progress indicator has not been externally verified.
- Third-party validation: The target record includes a field that lists UNEP FI in connection with this target. This listing does not constitute external verification of current-year financed emissions metrics, progress indicators or future achievement of the target.

1. Long-term net-zero greenhouse gas emissions target

- Target: Achieve net-zero greenhouse gas emissions across all scopes.
- Scope: All scopes across the whole entity.
- Metric: Emissions in tonnes of CO₂ equivalent, expressed as a percentage reduction versus baseline.

- Baseline year and value: 2020, with a baseline parameter of 120,000 tCO₂e recorded in the target record.
- Target year and reduction level: 2050, with a 100% reduction from the 2020 baseline recorded in the target record.
- Gases covered: All seven Kyoto greenhouse gases.
- Basis: The target record indicates that this is a net emissions target and references an associated gross target for operational emissions.
- Framework: The target record identifies the Net-Zero Banking Alliance as the target framework.
- Planned use of carbon credits: The target record includes a parameter indicating that up to 8.2% of the reduction at the target date may be met through carbon credits, with a focus on technology-based removal projects. This parameter is a planning assumption in the target record and does not represent a current commitment to specific projects.
- Progress indicator: The target record reports 13.3% progress towards the 2050 net-zero objective as at 2024, expressed as a percentage reduction versus the baseline. This progress indicator has not been externally verified.
- Third-party validation: The target record includes a field that lists UNEP FI in connection with this target. This listing does not constitute external verification of current-year emissions metrics, progress indicators or future achievement of the target.

The target records also indicate review frequencies of triennial for the Scope 1 and 2 target, annual for the financed emissions intensity target and biennial for the net-zero target. These review frequencies are used internally to schedule reassessments of target parameters and progress.

References in this subsection to external initiatives and organisations describe the frameworks and fields recorded in the Bank's internal target records. They do not constitute confirmation that current-year emissions, financed emissions, progress indicators or future achievement of the targets have been externally verified.

Metrics and targets limitations and evidence boundaries

The Bank recognises several limitations and boundaries in its current climate-related metrics and targets disclosures for the year ended 31 December 2024:

- Operational greenhouse gas emissions: Detailed 2024 Scope 1, Scope 2 and Scope 3 operational emissions records are unavailable. As a result, operational emissions are not disclosed in this report, and the Bank relies primarily on financed emissions and related intensity metrics to assess its climate-related emissions profile.
- Financed emissions methodology: While total financed emissions and portfolio carbon intensity are disclosed, the Bank does not currently disclose the detailed calculation methodology, including data sources, estimation techniques, data quality assessments, or the precise perimeter of assets and sectors included in the financed emissions calculation. This limits comparability with other institutions and may affect the interpretation of year-on-year changes.

- **Disaggregation of financed emissions:** The Bank does not currently disclose financed emissions by asset class, sector, geography or client segment in this report. Financed emissions are therefore presented only as a portfolio-level aggregate for the loan book.
- **Climate-related financial metrics:** The Bank discloses aggregate figures for green loans, high-carbon sector exposure, fossil-fuel exposure, climate-related capital expenditure and climate-related operating expenditure. Further breakdowns by business line, sector or geography are not provided in this section.
- **Target records and progress indicators:** All baseline values, target values, interim milestones, progress percentages, framework references and third-party validation details are parameters recorded in the Bank's internal target records. These parameters do not constitute verification of current-year emissions, financed emissions, progress towards the targets, consistency with any specific climate pathway, or future achievement of the targets. No external verification of the 2024 progress indicators reported for each target has been performed.
- **Third-party validation references:** References to external organisations such as the Science Based Targets initiative and UNEP FI in this section relate solely to fields recorded in the Bank's target records. These references do not extend to current-year emissions metrics, financed emissions calculations, portfolio alignment assessments or the likelihood of future target achievement.
- **Verification and validation status:** The climate-related metrics and targets disclosed in this section, including financed emissions, carbon intensity, exposure metrics, green lending, climate-related capital and operating expenditure, and target progress indicators, have not been externally verified for the 2024 reporting year.

The Bank intends to enhance the scope, granularity and methodological transparency of its climate-related metrics and targets over time, including the development of more detailed operational emissions records, expanded financed emissions coverage and further disaggregation of climate-related financial metrics, subject to data availability, methodological developments and regulatory requirements.

Supporting data and exhibits

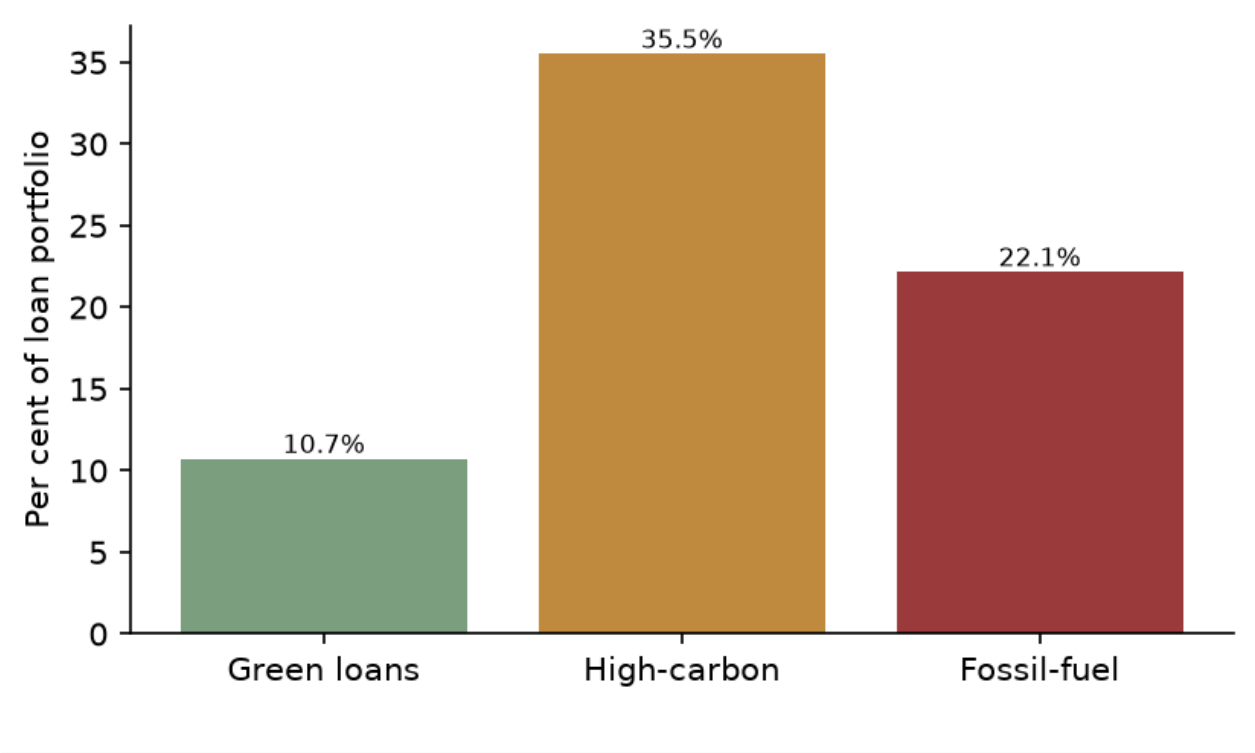
Table M1 — Key climate-related metrics (2024)

Metric	Value
Financed emissions (loan portfolio)	35,973,167.69 tCO ₂ e
Portfolio carbon intensity	1,154.81 tCO ₂ e per EUR m lending
High-carbon sector exposure	EUR 11,059.49m (35.5% of loans)
Fossil-fuel exposure	EUR 6,899.59m (22.1% of loans)
Green loans	EUR 3,335.75m (10.7% of loans)
Climate-related capital expenditure	EUR 476.95m
Climate-related operating expenditure	EUR 219.32m
Total loans	EUR 31,150.64m
Total assets	EUR 850,000.00m

Table M2 — Climate targets (as recorded in internal target records)

Target	Scope	Baseline	Target year	Reduction	Framework	2024 progress (internal, unverified)
Absolute reduction	Scope 1 and 2	137,849 (2020)	2030	42%	SBTi 1.5°C	40.0%
Intensity reduction	Scope 3 cat15 financed	20 (2022)	2030	30%	NZBA	25.0%
Net zero	all Scopes	120,000 (2020)	2050	100%	NZBA	13.3%

Figure M1 — Loan portfolio composition by climate-related category (2024)



Appendices

Appendix A - Abbreviations and defined terms

Term	Definition
ERM	Enterprise Risk Management
ESG	Environmental, Social and Governance
ICAAP	Internal Capital Adequacy Assessment Process
IFRS S1	IFRS S1 General Requirements for Disclosure of Sustainability-related Financial Information
IFRS S2	IFRS S2 Climate-related Disclosures
ISAE 3000	International Standard on Assurance Engagements 3000 (assurance of non-financial information)
NGFS	Network for Greening the Financial System
NZBA	Net-Zero Banking Alliance
SBTi	Science Based Targets initiative
Scope 1	Direct greenhouse gas emissions from owned or controlled sources
Scope 2	Indirect greenhouse gas emissions from purchased energy
Scope 3	Other indirect greenhouse gas emissions across the value chain, including financed emissions
TCFD	Task Force on Climate-related Financial Disclosures
UNEP FI	United Nations Environment Programme Finance Initiative
tCO ₂ e	Tonnes of carbon dioxide equivalent

Appendix B - Basis of preparation

This report presents the sustainability-related and climate-related financial disclosures of Eurolux Universal Bank AG for the financial year ended 31 December 2024, prepared with reference to IFRS S1 and IFRS S2. The reporting entity is Eurolux Universal Bank AG, headquartered in Germany. Monetary amounts are presented in euro (EUR) unless otherwise stated.

Quantitative climate-related metrics, in particular forward-looking scenario outputs and financed emissions, represent management's best estimates and are subject to measurement uncertainty. Except where an assurance statement is expressly provided, the metrics in this report have not been externally audited or assured.

Methodology limitations. The following matters are not addressed in this report for the current reporting year, and are areas the Bank intends to develop in future reporting cycles:

- Formal climate-related risk-appetite thresholds are not disclosed.
- Standalone climate-risk policy documents are not separately disclosed.
- Detailed formal control procedures, including individual control owners, are not disclosed.
- Formal escalation thresholds are not disclosed.
- The Bank's operational Scope 1, Scope 2 and Scope 3 greenhouse gas emissions are not separately quantified in this report.
- A breakdown of financed emissions by sector or asset class is not currently reported.
- A detailed description of the financed-emissions measurement methodology is not provided.
- A formal three-lines-of-defence assignment of climate-risk responsibilities is not described.

Appendix C - Referenced information and frameworks

This report refers to the following frameworks, standards and initiatives:

Reference	Description
IFRS S1	IFRS S1 General Requirements for Disclosure of Sustainability-related Financial Information (ISSB).
IFRS S2	IFRS S2 Climate-related Disclosures (ISSB).
TCFD	Recommendations of the Task Force on Climate-related Financial Disclosures.
ISAE 3000	International Standard on Assurance Engagements 3000 (Revised).
SBTi	Science Based Targets initiative target-setting framework.
NZBA	Net-Zero Banking Alliance.
NGFS	Network for Greening the Financial System climate scenarios.
UNEP FI	United Nations Environment Programme Finance Initiative.

Appendix D - IFRS S1 and IFRS S2 disclosure index

The following index indicates the section of this report in which each IFRS S1 and IFRS S2 content area is addressed. Where a content area is addressed only in part, the relevant limitation is set out in the section concerned and summarised in Appendix B.

IFRS S1 / S2 content area	Where addressed in this report
IFRS S1 - General requirements (governance, strategy, risk management, metrics and targets; connected information; judgements and uncertainties)	General Requirements
IFRS S2 - Governance	Governance
IFRS S2 - Strategy (business model and value chain, climate-related risks and opportunities, scenario analysis, financial effects)	Strategy
IFRS S2 - Risk management	Risk management
IFRS S2 - Metrics and targets (cross-industry metrics, greenhouse gas emissions, climate-related targets)	Metrics and targets
IFRS S2 - Industry-based metrics (commercial banks)	Metrics and targets (financed-emissions and exposure metrics)